MEZO BUILDATHON · TRACK 1 · LIVE ON MEZO TESTNET

BACKSTOP

When Mezo has a bad day, *you're covered.*
Insurance for Mezo positions, underwritten in MUSD, with claims decided by veMEZO holders.

backstop-pearl.vercel.app · github.com/egbujor-emmanuel/backstop

OCTOBER 5, 2026 · 18:54 UTC

37 veBTC positions. 5.52 BTC drained in twelve minutes.

$472,476
AT MEZO'S ORACLE, BLOCK 12,311,508

36
HOLDERS HIT

~5.5 h
TRANSACTION HALT THE NEXT DAY

Mezo
PAID IT BACK FROM PROTOCOL FUNDS

Mezo's incident report: "investigating whether there is a class of automated triggers that could have allowed … automated blast prevention."

Source: mezo.org/blog/incident-report-october-5-2026

THE GAP

Today the protocol's treasury is the only backstop.

Every Mezo user carries smart-contract risk with nowhere to hand it off. None of the 150 Buildathon submissions offers cover, and no cover protocol covers positions on the Mezo chain.

BACKSTOP turns that liability into a market: people who want protection pay for it, people who want yield carry it, and people with long-term skin in Mezo decide what is a valid claim.

HOW IT WORKS

Three roles. One pot of MUSD.

01

Buyers

Insure a veBTC lock, a trove's collateral, Mezo Swap pools, the MEZO bridge or a transaction halt. Premium in MUSD, 2–6% a year.

02

Underwriters

Deposit MUSD. Earn 85% of premiums plus Mezo's sMUSD savings yield on 90% of idle capital.

03

veMEZO assessors

Vote on claims, weighted by lock size and length. Share 5% of premiums and the bonds of rejected claims.

BUILT FROM MEZO'S OWN PARTS

Every MUSD in the system does real work.

MUSD	Premiums, underwriting capital, claim bonds, payouts, assessor rewards: demand on both sides.
sMUSD	Idle underwriting capital earns the MUSD savings rate; yield is claimed into the pool.
TroveManager + PriceFeed	Trove cover requires an active trove, capped by its collateral at MUSD's own price.
veBTC	Cover checks lock ownership and locked BTC; no over-insurance, even after a sale.
veMEZO	A new job for MEZO: deciding claims, paid from premiums.

All reads and writes against the real testnet contracts

ENFORCED BY THE CONTRACTS

Insurance that can't be farmed.

Fully backed	No policy larger than free capital; underwriters can't withdraw what backs live cover.
No sniping	Premiums vest over 7 days; withdrawals wait out a cooldown.
Votes can't be bought late	Weight is each veMEZO lock's power before filing. 60% supermajority, quorum, minimum voters.
No admin over money	The owner curates products and pauses sales. It cannot move funds or approve claims.
Claims never lost	A paused sMUSD defers a payout, never cancels it; anyone can retry.
No circular cover	MUSD's own core is excluded: MUSD can't insure MUSD.

PROOF, NOT PROMISES

The whole lifecycle ran on Mezo testnet.

4
CONTRACTS, SOURCIFY EXACT MATCH

100 + 6
UNIT/FUZZ TESTS + INVARIANTS

16,384
RANDOM CALLS, 0 REVERTS

1
FORK TEST ON REAL MEZO CONTRACTS

Underwriting → 3 policies → an approved claim paid 150 MUSD → a rejected claim's bond paid to assessors → assessor rewards → underwriter exit. Every step is a linked transaction; every wallet is labelled.

REPLAYED FROM MEZO MAINNET

October 5 cover: *$1,165*. The loss: $472,476.

30-day veBTC cover for all 37 drained positions at the live 3% rate. And on October 6, blocks kept coming while transactions stopped, so halt claims go to the court with on-chain evidence:



backtest/tx_liveness.py · blocks 12,321,801–12,332,989

BUSINESS MODEL

A fee on every premium.

Protocol	10% of premiums
Assessors	5% of premiums + forfeited bonds
Underwriters	85% of premiums + sMUSD yield
Market	912.6 BTC locked as veBTC and $13.1M of MUSD loans (Mezo H1 2026). 5% of veBTC value covered at 3% ≈ $96k premiums a year, $9.6k to the protocol.
First buyers	veBTC holders and borrowers exposed on Oct 5; treasuries that need cover to hold BTC on-chain.

Illustrative at BTC $70k

WHAT'S NEXT

From testnet to the backstop Mezo deserves.

Dec 2026	Independent audit; claim-assessment guidelines with worked October 5 examples.
Q1 2027	Capped mainnet pool with veBTC and trove products, via Mezo's Ignition Program.
Q2 2027	Cover for community protocols, priced from on-chain risk signals; protocols buy cover for their users.

Try it: backstop-pearl.vercel.app · Code: github.com/egbujor-emmanuel/backstop